Cambridge (CIE) A Level Business

Your notes

Business Structure

Contents

- Economic Sectors
- Business Ownership: Sole Traders and Partnerships
- Business Ownership: Companies
- Business Ownership: Co-ops and Social Enterprises
- Business Ownership: Franchises and Joint Ventures
- Choosing the Right Business Ownership

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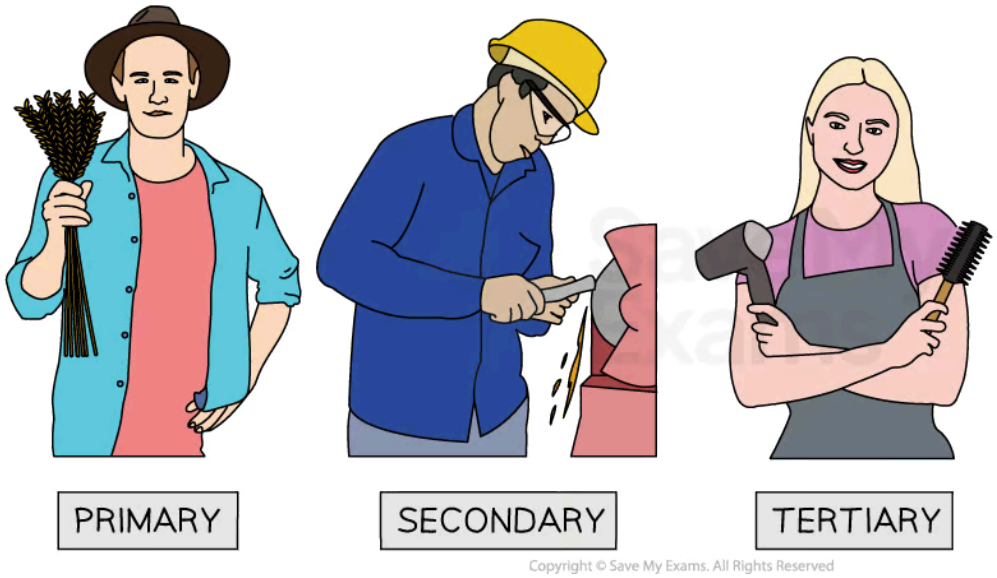
Your notes

The four economic sectors

- Businesses can be classified according to the **industrial sector** in which they operate
  - This **aids comparisons** between firms in the same sector
  - However, it does not capture the full **complexity** of the business world
    - Some businesses **operate across more than one sector** of industry
    - E.g. Large oil companies such as **Shell** extract (primary), refine (secondary) and sell (tertiary) fuel through a large network of gas stations

The main sectors of industry



Businesses operate in the primary, secondary or tertiary sector

- The **primary** sector is concerned with the **extraction** of raw materials from land, sea or air
  - Examples include farming, mining, forestry and fishing
- The **secondary** sector is concerned with the **processing** of raw materials and components
  - Examples include oil refinement and the **manufacture** of goods such as vehicles
- The **tertiary** sector is concerned with the provision of a wide range **services** for consumers and other businesses, such as leisure, banking or **hospitality**
  - It includes a sub-sector called the **quaternary** sector, which is concerned with the provision of **knowledge-focused services** related to IT technology, **consultancy** or research

Examiner Tips and Tricks

Make sure that you can define and identify examples within each sector.

Your notes

Public and private sectors

- **Public sector firms** are owned and controlled by the Government and usually funded through **taxation**
- **Private sector firms** are owned and controlled by other firms or private individuals (entrepreneurs and shareholders) and are usually funded by **owners' capital, borrowing and retained profits**
- **Privatisation** occurs when government-owned firms are sold to the private sector
- Many government owned firms have been **partially privatised**
  - The government retains a share in them so they can influence decision-making and receive a share of the profits, e.g. the shares of Singapore Airlines are 55% government owned & 45% privately owned

A comparison of public and private sector organisations

Public sector organisations	Private sector organisations

▪ Their main goal is usually to **provide a service**
▪ Public sector firms can operate on a local, regional or national government level
  ▪ E.g. Transport for London (local); Agricultural State Service in India (regional); Caribbean Airlines (national)
▪ Governments are likely to retain ownership of organisations in the public sector for several reasons
  ▪ They are **strategically important** to the country
  ▪ E.g. defence or justice systems
  ▪ They provide **essential** services
  ▪ E.g. water or electricity supply
	▪ The objective of most private sector organisations is **profit maximisation**
	▪ This often causes the private sector to be more **efficient** than the public sector with higher levels of **productivity**
	▪ Types of business ownership vary from **sole trader** to **partnerships** to **company shareholders**
	▪ Former public sector businesses (privatised) have become some of the largest companies in many economies
	  ▪ E.g. **British Telecom Plc** is one of the FTSE 100 leading companies in the UK
	  ▪ **Air India**, the country's national airline, was privatised and sold to Tata in 2021 as the Indian government seeks to reduce its commercial involvement in the economy

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▪ They are **merit goods** that may not be provided in sufficient quantities by private businesses ▪ E.g education or health services	

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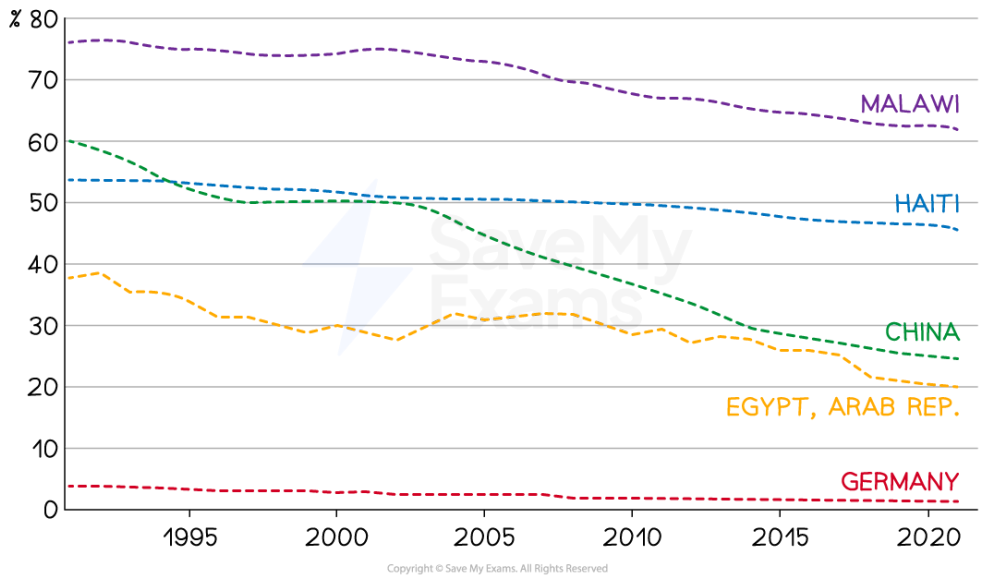
The changing importance of the economic sectors

Primary sector changes

- In the UK, around **2% of the working population** is employed in businesses in the primary sector
- **Less developed economies** are primarily focused on the **primary sector,** with most people employed in agriculture and the production of food
  - There has been a **global trend away from employment in primary sector industries** over the last two decades
  - Only in the least developed nations is the proportion of the workforce employed in the primary sector consistently high
  - This is partly as a result of **lower participation rates in education** and a **lack of infrastructure** to support manufacturing or service provision
- Some **developed economies,** such as Australia (viticulture or wine production) and Norway (forestry and oil extraction), continue to have significant primary sectors

Employment in primary industries in some countries since 1991



Employment in primary industries in Malawi, Haiti, China, Egypt and Germany since 1991 (Source: WorldBank)

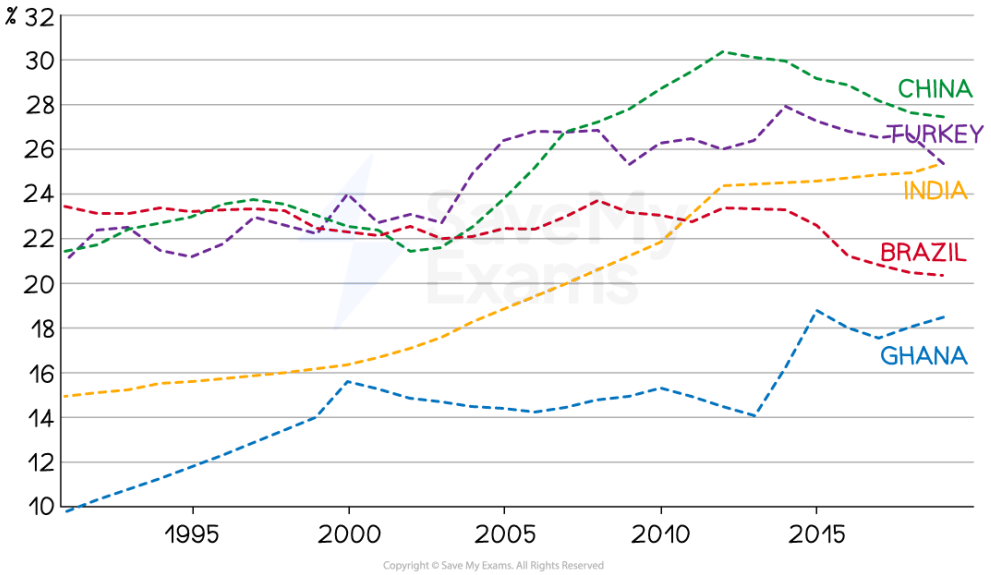
- Malawi retains the highest proportion of employment in the primary sector
- China has seen a significant decrease in primary sector activity since 1991
- Germany has a small primary sector with an economy focused on manufacturing and services well before 1991

Your notes

Secondary sector changes

- In the UK, around **22% of the working population** is employed in businesses in the secondary sector
- In **emerging economies,** improved technology enables less labour to be needed in the primary sector and more workers to be employed in the secondary sector
  - The proportion of **workers employed in manufacturing has risen** over the last few decades
  - Many businesses have relocated production facilities to take advantage of the **lower average wage rates** in these economies

Employment in secondary industries in some countries since 1991



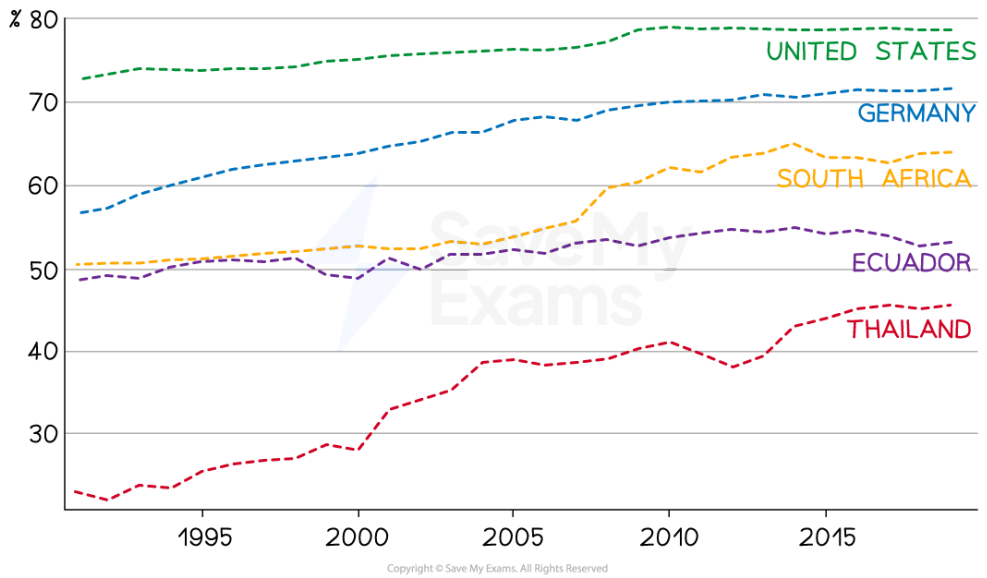
Employment in secondary sector industries in China, India, Turkey, Brazil and Ghana since 1991 (Source: WorldBank)

- China has the highest proportion of employment in the secondary sector, though it is declining
- Ghana and India have seen significant increases in secondary sector activity since 1991
- Brazil and Turkey's secondary sectors have remained relatively stable over the period 1991 to 2019

Tertiary sector changes

- In the UK, around **76% of the working population** is employed in businesses in the tertiary sector
- **Emerging economies** have experienced growth in the tertiary and quaternary sectors in recent years, with **many businesses now focused on the provision of consumer services**
- The **most developed economies** have a very high proportion of the workforce employed in the provision of services, increasing focus on the quaternary sector
  - Developed economies use their wealth to fund advanced **education** and **higher-level skills training,** which further supports the growth of these industries

Employment in tertiary industries in some countries since 1991



Employment in tertiary sector industries in the USA, Germany, South Africa, Ecuador and Thailand since 1991 (Source: WorldBank)

- Highly-developed economies such as the US and Germany have the highest proportion of their workforces employed in the service industry
- Thailand's service sector employs twice as many employees in 2019 as it did in 1991
- Around half of Ecuador's workforce is now employed in service delivery

Public sector changes

- In recent decades governments around the world have tended to **move away from the centralised provision of services**
  - In **Cuba** small private sector businesses are now encouraged, although a large proportion of workers remain employed directly by the government
  - Political change in **Venezuela** has led to a rare example of an increase in the involvement of the state in the economy

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Sole traders

- When an entrepreneur starts a business, they will often start operating as a **sole trader**
  - This is a business with a **single owner** (although they may still hire employees)

Examples of sole trader businesses

Example	Description
Nico's Auto-Cleaning	▪ 19-year-old Nico runs a car cleaning service using eco-friendly products
Jan's Bike Repairs	▪ Ben is a mobile cycle mechanic covering suburban Stockholm
Taste of Kerala	▪ Larissa is a street-food vendor at weekend markets and music festivals
PixelPup Design	▪ Mohan is a freelance graphic-designer serving small charities online

- Sole traders often run their business alone and so need to have a **varied skillset**, including:
  - **Money skills:** set sensible prices, keep basic records and monitor cash coming in and going out so the business doesn't run out of money
  - **Great customer service:** be friendly, reliable and helpful so people come back and tell their friends
  - **Simple marketing and selling:** spread the word on social media or in the local area and feel confident asking for the sale
  - **Problem-solving and resilience:** stay calm when things go wrong (like late payments or lost stock) and find quick fixes

Evaluating a sole trader setup

Advantages	Disadvantages
▪ Easy and inexpensive to set up ▪ The owner has **complete control** over the business ▪ All profits belong to the owner ▪ Simple **tax** arrangements	▪ Unlimited liability, meaning the owner is **personally responsible for any debts** the business incurs ▪ Limited access to finance and capital ▪ Limited skill sets

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▪ Decisions can be made very quickly so the business can react swiftly to market change ▪ High levels of **personal satisfaction**	▪ Difficult to take time off from the business

- Over time, sole traders may change the form of business
  - By forming a partnership or becoming a private limited company with **limited liability** they can access **more funding** or provide **more security** for the owners

Partnerships

- A **partnership** involves **two or more people** joining together to own a business
  - They are relatively **easy to set up** with relatively few legal formalities
  - Partners may choose to draw up a **deed of partnership** which states the formal **rights of each partner** including
    - The amount of **capital** contributed by each partner
    - How profits or **losses** are shared amongst partners
    - The procedures for **dissolving** the partnership and taking on new partners
    - The level of control each partner has
  - Examples of business that commonly operate as partnerships include lawyers, accountants and doctors

Evaluating a partnership setup

Advantages	Disadvantages
▪ Easy and inexpensive to set up and run, as there are **few legal formalities** ▪ Shared responsibilities and **decision-making** ▪ More skills and knowledge means **partners can specialise** in their area of expertise ▪ Increased access to **finance** and capital	▪ Partners also have **unlimited liability** for debts incurred by the business ▪ In some countries it is possible to set up as a limited liability partnership, which removes this risk ▪ Partners' decisions are **legally binding** on all owners ▪ There is **potential for disputes** between partners ▪ **Profits are often shared equally** regardless of a partner's contribution

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Private limited companies

- **Private limited companies** are owned by one or more **shareholders**
  - The business name is suffixed with '**Limited**' or '**Ltd**' in the UK and and **S.A.** in Spain
  - Shareholders are often **family members or close friends**
    - Private limited companies can remain as family-owned businesses for many years, as shares are passed from generation to generation
  - Shareholders are usually also **directors** who run the business on a day to day basis

Examples of private limited companies

Example	Description
Huawei Technologies Co. Ltd	▪ Chinese private tech giant making telecom equipment, smartphones, cloud services
The LEGO Group (Denmark)	▪ Family-owned toy company making interlocking bricks and themed sets worldwide
Timpson Ltd (UK)	▪ A UK chain offering shoe repairs, key cutting, dry-cleaning and photo services ▪ The company is known for recruiting and training ex-offenders

- **Private limited companies** may be more suitable than sole trader or partnership ownership if setting up the business involves significant **capital investment**, or involves some risk
  - The owners **personal assets are protected**, as they have **limited liability**
  - Most private limited companies are **owned and controlled by just one person** (just like sole traders) who has made the decision to reduce their personal financial risks

Evaluating private limited companies

Advantages	Disadvantages
▪ Shareholders benefit from **limited liability** for debts incurred by the company ▪ Access to **greater finance** from investors and lenders who consider limited companies to be less risky	▪ More **expensive and time-consuming to set up**, as legal advice is often required ▪ More **complex operational rules** than sole traders or partnerships

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▪ **Ownership can be easily transferred** by selling shares ▪ **Business continuity**, as the business does not die with its original owner	▪ Annual **financial reporting and auditing** are required ▪ Shareholders may have little control over the company, as the **founder usually imposes their own agenda**

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Public limited companies

- When a business is growing rapidly, it may **require a significant amount of capital** to fund its expansion
- To secure this funding, it may choose to transition from a **private limited company (Ltd) to a public limited company (Plc)**
- **Public limited companies** are large businesses that sell shares publicly on the **stock exchange** (e.g. the London Stock Exchange)
  - Public limited companies have the suffix '**PLC**' in the UK, '**Inc**' in the US and '**GmBH**' in Germany
  - They must publish **detailed financial accounts** each year
  - They may have many thousands of individual shareholders
    - Each ordinary share allows its owner a **vote** at the **Annual General Meeting**
    - Shares are often held by finance companies in pension funds and investment products

Examples of public limited companies

Example	Description
Toyota Motor Corporation (Japan)	▪ Vehicle manufacturer, producing cars, hybrids and trucks worldwide
PepsiCo, Inc. (USA)	▪ Global food and drink company behind Lay's crisps, Doritos snacks and Pepsi soft drinks
Deliveroo plc (UK)	▪ London's largest tech listing of 2021, Deliveroo provides on-demand food and grocery delivery services

- Selling shares on the stock exchange for the first time is called **flotation** or **going public**
- Flotation is a complex legal process that allows **large amounts of share capital** to be raised
  - E.g. When Applied Nutrition Plc floated in late 2024, around £220 million was raised for the firm

Evaluating public limited companies

Advantages	Disadvantages

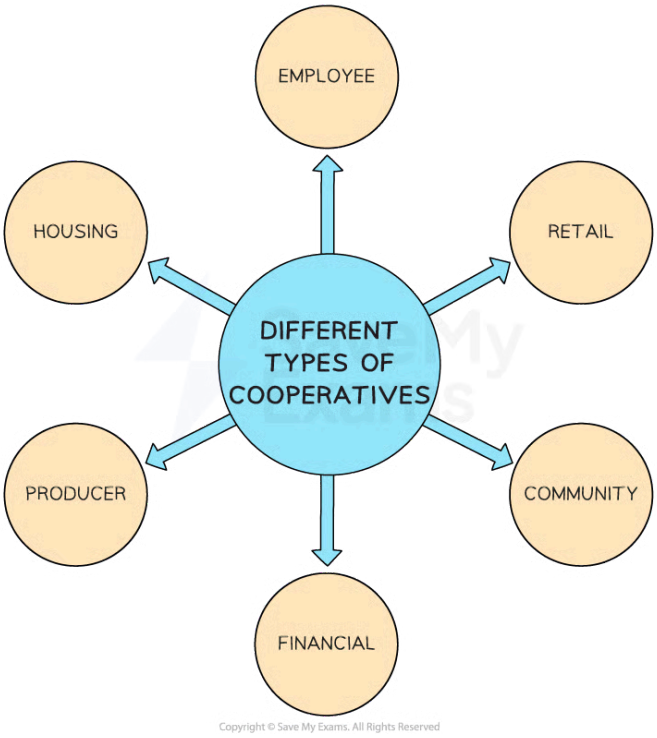
▪ Significant amounts of **capital** can be raised
▪ **Risks are spread** among a large group of shareholders
▪ Company shares can be **bought and sold easily** on a public stock exchange
▪ A **board of directors**, made up of individuals from outside of the company management and major shareholders, can bring in expertise/perspectives that can promote growth
▪ PLCs have **high visibility** with customers, suppliers, and potential investors, which can help grow its customer base
▪ As large businesses PLCs may be able to **dominate the market** and benefit from **economies of scale**
	▪ PLCs must comply with **complex legal and financial regulations** such as
	  ▪ Completing regular financial reports
	  ▪ Maintaining accurate accounting records
	  ▪ Holding annual general meetings
	▪ Setting up a public limited company can be **expensive**
	  ▪ Fees for legal and accounting advice
	  ▪ Costs of the flotation such as producing a prospectus and public relations
	▪ The management team are likely to **prioritise short-term financial performance** (e.g. paying staff less) over long-term **strategic** planning (retaining talented staff) so as to maximise profits for shareholders
	▪ **Hostile takeovers** are a risk, as shares can be bought by rival businesses

Your notes

Your notes

Co-operatives

- Co-operatives are a form of for-profit social enterprise that are **owned and run by and for their members** with the principle that **working together** means more **power**
  - Each member owns **one share** and has **one vote** on key decisions
  - **Profits** are either **shared equally** between members or **reinvested** for their benefit
- Co-operatives are often celebrated as businesses that take a broader approach to business than the generation of profits and provide some key social benefits
- However, they do have some disadvantages:
  - **Decision-making** in cooperatives can be time-consuming, as members have the right to have a say
  - When a member leaves a cooperative, their **share is relinquished** and they receive no further benefits
  - **Disagreements** can occur when members possess differing social and commercial objectives



Retail, employee and producer are the most common types of co-operative

Types of cooperatives

1. Employee co-ops

- **Owned equally by workers** within the business
- Each employee has a vote in business decisions
- **Profit is shared equally** between employees
  - E.g., Flaskô in Brazil, which was purchased by its employees in 2003

2. Community co-ops

- Owned by members of a **local community**
- **Members usually contribute time** as well as finances to the cooperative
- Profit is commonly reinvested to continue providing socially valuable products
  - E.g., Hour Exchange Portland in the USA, a **time-bank** organisation

3. Retail co-ops

- A group of independent retailers come together and **operate under one brand name**
- **Buying power is increased** and marketing costs are shared
  - E.g., DIY retailer ACE Hardware in the Philippines

4. Producer co-ops

- Groups of manufacturers **work together** during the production process
- Sharing and **maximising the use of expensive capital equipment** is often a key aim
- Producer cooperatives are **common in agriculture**
  - E.g., The German Wine Group cooperative brings together small wine producers in the country's main wine-producing regions

5. Financial co-ops

- Organisations that provide financial services to individuals that may not otherwise qualify for standard banking products
- Often **focused on a particular community**
- Social aims take precedence over profits
  - E.g., in the UK, Medway Credit Union provides loans and savings facilities to those living with challenging circumstances

6. Housing co-ops

- Organisations that **provide housing** for members
- Members collectively own and benefit from socially cohesive and **lower cost dwellings**
  - E.g., Almost 30% of housing in Poland is owned through housing cooperatives with Spółdzielnia Mieszkaniowa in Warsaw being one of the most well-known housing cooperatives

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Social enterprises

- A **social enterprise** is a business that has the primary purpose of **creating social or environmental impacts,** in addition to generating profits

Objectives of social enterprises

Social	Environmental
▪ Provide jobs and support for disadvantaged groups in society, such as the disabled or homeless	▪ Protect the natural world, animals and their habitats ▪ Reduce the impact of pollution or overdevelopment
Ethical	**Financial**
▪ Operate the business in a responsible way ▪ Treat **stakeholders,** including employees and suppliers, fairly	▪ Make a profit to invest back into the social enterprise to expand the social work that it performs

Evaluating social enterprises

Advantages	Disadvantages
▪ Social enterprises often have a **good reputation**, which can attract highly-qualified employees and encourage **customer loyalty** ▪ For-profit **rivals may be encouraged to improve their business practices** to better compete with social enterprises ▪ Deserving causes receive much-needed **financial support**	▪ Social enterprises may face **media scrutiny** so must ensure they behave responsibly at all times ▪ **Profits (surpluses) available for reinvestment** are limited, as they are shared with members or good causes ▪ **Decision-making is often slow** as many **stakeholders** need to be consulted

Case Study

- **Butterfly Books** is a social enterprise that publishes children's educational books in the UK
- Their aim is to 'work to educate, inspire and entertain children, aiming to change future generations by reducing gender bias in job roles'
- A recent book entitled 'My Mummy is an Engineer' challenges gender stereotypes

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Butterfly Books aims to raise children's awareness of career options to improve diversity and reduce national skill gaps

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Franchises

- Franchising is a business format in which an **individual (franchisee)** buys the rights to operate a business model
  - The franchisee can use its branding and software tools and receive support from a **larger company (franchisor)**
  - The franchisee will pay both an initial lump sum plus ongoing royalty fees
- The franchisee is usually the owner of a private limited company
  - The business is operated under the **franchisor's established system** and training, marketing support and ongoing assistance are provided
  - Examples of well-known franchises include Domino's Pizza, KFC and Burger King

Examples of fast food franchises

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Some well-known businesses operate as franchises

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- A franchise is **not a form of business ownership**; it is an alternative to starting a brand new business from scratch
  - In most cases, franchisors require businesses to operate as private limited companies as this form of ownership is considered to be more stable than sole traders or partnerships

Evaluating franchise ownership

Advantages	Disadvantages

▪ A **recognised brand name** which is promoted centrally by the franchisor
  ▪ E.g., Dominos sponsored 'The Simpsons' for many years
▪ Product **training,** such as how to consistently make good pizzas, is provided to ensure the quality and consistency of the brand
▪ **Equipment and supplies** are provided by the franchisor so that the product will be the same regardless of where it was purchased
▪ Franchisees buy an **exclusive area** or market to sell to
  ▪ The franchisor will not create any more franchises in that area, limiting competition
▪ **Advice**, training, use of **software** systems and problem solving are ongoing and the franchisor may also provide services such as loans and insurance
	▪ A **fixed sum** must be paid at the start of the franchise for the right to use the business name and resources
	▪ Regular **royalties** must also be paid, which vary according to the level of sales, often around 5 - 10 % of sales revenue
	▪ The franchisor may sell materials or equipment to the franchisee at **inflated prices**
	▪ If the franchisee does not make the product to the required standard set by the franchisor, the **right to run the franchise can be removed** from them
	▪ Franchisees have little say about **how the business is run** and lack freedom to introduce new products or change selling prices

Joint ventures

- A joint venture is a medium- to long-term agreement for **two or more separate businesses** to join together to **achieve a defined business outcome,** such as entry into a new market
  - A new **combined business entity** is formed
  - Risks and returns are **shared by the parties involved** in the joint venture

- Businesses in a joint venture are usually looking to **benefit from complementary strengths and resources** brought to the venture
- Many **European companies have set up joint ventures with businesses in China**
  - Chinese managers and employees understand market needs and consumer tastes, which gives the venture a greater chance of success
  - The Chinese government encourages joint ventures rather than **foreign direct investment (FDI)**
  - German car manufacturer BMW and Chinese rival Brilliance Auto Group formed a joint venture called BMW Brilliance in 2003 to produce and sell BMW cars in China

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Evaluating the use of joint ventures

Advantages	Disadvantages
▪ Each partner in the joint venture benefits from **sharing expertise and resources,** such as distribution channels and R&D expertise ▪ Joint ventures are **less risky than 'going it alone'** if entering a new market or diversification ▪ **Local knowledge** can be accessed when one of the joint venture partner companies is already based in the country ▪ **Costs are shared** between joint venture companies, which is very important for expensive projects such as new aircraft	▪ If the joint venture is successful, profits have to be shared between the partner businesses ▪ **Disagreements may occur** regarding important decisions due to the input of managers in both businesses ▪ The objectives of each business may change over time, leading to a **conflict of objectives** between joint venture partners ▪ If the joint venture fails, it may need to be **dismantled, reorganised** or **sold,** which is likely to take significant time and resources

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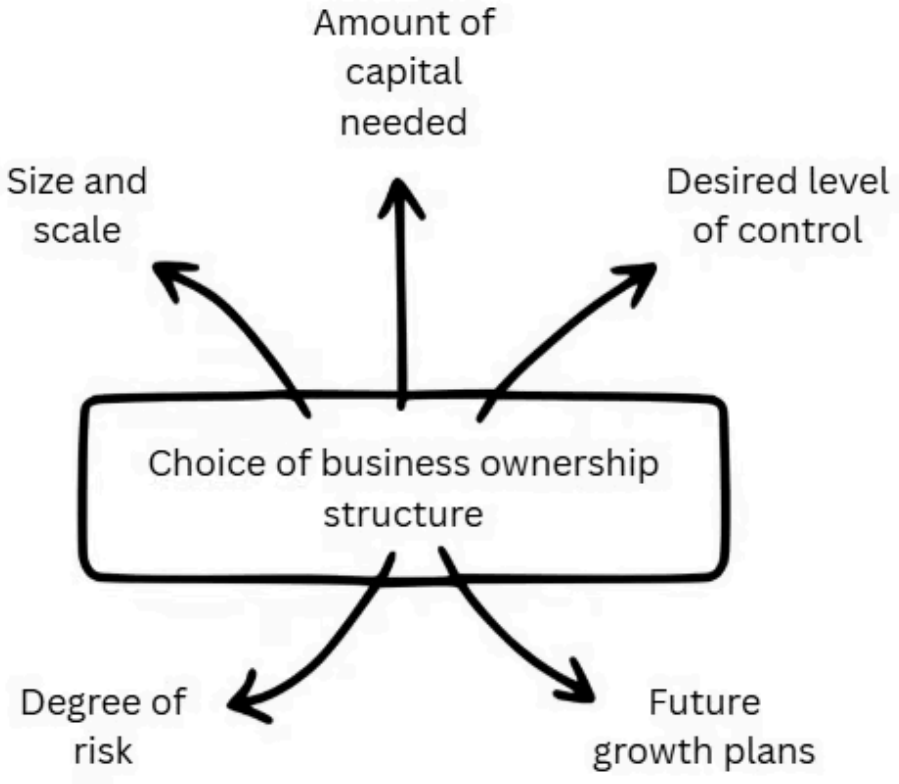
The appropriateness of different types of business ownership

- When starting or growing a business, it is important to choose the **right type** of ownership
- Businesses consider several factors when deciding which ownership structure is best suited to their needs and goals



The choice of ownership structure depends on factors including size, scale, degree of risk and future growth plans

Factors affecting the choice of ownership type

1. Size and scale of business

- The size of the business (small, medium, or large) helps determine the most suitable ownership type
- Smaller businesses often choose simpler structures, while larger firms may require more complex forms like public limited companies
  - E.g., A small local café would likely operate as a sole trader, whereas a multinational company like Samsung operates as a public limited company (Plc)

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2. Amount of capital needed

- Different ownership types allow businesses to raise different amounts of money
- Businesses needing large amounts of capital typically choose structures that allow share sales
  - E.g., Public limited companies raise large amounts of capital by selling shares publicly, whereas a local hair salon (sole trader) usually needs only a small initial investment

3. Desired level of control

- Business owners must consider how much control they wish to maintain
- Some structures offer complete control, while others involve sharing decision-making responsibilities
  - E.g., A sole trader has full control over all business decisions, while a franchise owner must follow strict rules set by the franchisor

4. Degree of risk (liability)

- The choice of ownership determines the level of personal financial risk
- Limited liability protects owners' personal assets, whereas unlimited liability could mean personal assets are at risk
  - E.g., Owners of private limited companies (Ltd) have limited liability, protecting personal possessions. In contrast, sole traders face unlimited liability, risking personal property if the business fails

5. Future growth plans

- Businesses planning rapid growth or international expansion must choose a structure that supports raising funds and managing growth effectively
  - E.g., A fast-growing technology startup might choose a private limited company to attract investors easily, while businesses intending to stay small, like family-run restaurants, might remain as partnerships or sole traders

The appropriateness of different ownership types

Type	Appropriate for
Sole Trader	▪ Small local businesses such as cafés, hairdressers, plumbers and market stalls
Partnership	▪ Professional services ▪ E.g. accountants, doctors, lawyers and architects
Private Limited Company (Ltd)	▪ Family-run businesses or SMEs aiming to expand

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	▪ E.g., local manufacturing companies, independent restaurants
Public Limited Company (Plc)	▪ Large companies needing significant investment ▪ E.g. Apple, Samsung, Toyota
Franchise	▪ Entrepreneurs preferring established business models ▪ E.g., Subway, Domino's Pizza, Hilton Hotels
Joint Venture	▪ International market entry, large-scale projects ▪ E.g., car companies developing electric vehicles together
Cooperative	▪ Community-based businesses, farming groups, retail cooperatives ▪ E.g., Arla Foods, The Co-operative Group (UK), agricultural cooperatives in Kenya
Social Enterprise	▪ Organisations aiming to solve social or environmental problems ▪ E.g., The Big Issue (UK), Grameen Bank (Bangladesh), TOMS Shoes (USA)

Your notes

The concepts of unlimited liability and limited liability

- When an entrepreneur starts a business, they need to consider **what kind of legal structure** they want for their business
- **Sole traders and partnerships** offer no legal protection to the owners in that the business assets and the owner's personal assets are viewed as being the same **(unlimited liability)**
- The other forms of business ownership offer **limited liability** in which the assets of the owners are considered to be separate from those of the business

Comparing unlimited and limited liability

Liability	Description	Implications
Unlimited liability	▪ Sole proprietors and partnership owners are fully responsible for all debts owed by the business ▪ Owners are also legally responsible for any unlawful acts	▪ There is no legal distinction between owners with unlimited liability and the business ▪ As a result, these business owners may have to use their

	committed by those connected to the business	own **personal assets** to pay debts or legal fees ▪ E.g. a sole proprietor may need to sell their home to pay **creditors** if their business fails
Limited liability	▪ Owners (shareholders) of private limited companies and public limited companies can only lose the **original amount** they invested in the business if it fails ▪ Shareholders are not responsible for business debts ▪ In most cases, the shareholders **cannot be held responsible** for unlawful acts committed by those connected with the business	▪ Companies are **incorporated** and owners are considered a separate legal entity to the business ▪ This means that if a company fails, the owners would **lose their investment** (shares) but would not have to use their assets to meet additional debts or legal fees ▪ E.g. In 2018 construction company Carillion entered **liquidation** and the shareholders lost their investments

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The advantages and disadvantages of changing the type of business ownership

- Businesses sometimes change their type of ownership as they grow or when they seek new opportunities

Changing from sole trader or partnership to private limited company

- As a business grows, the owner may need **more capital to expand** or want to reduce their personal financial risk
- Switching to a private limited company offers limited liability and allows the business to raise money through selling shares privately
  - E.g. A local bakery that started as a sole trader may become a private limited company to open more branches and attract investors to help fund expansion

Advantages	Disadvantages
▪ Limited liability reduces personal financial risk for owners	▪ Increased administrative work and legal obligations, such as registering the business and filing accounts publicly

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▪ Easier to raise capital through private share issues	▪ Potential loss of full control as shareholders may influence decisions
▪ More stable structure that can attract investors	▪ Set-up and operating costs tend to be higher than sole traders or partnerships

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Buying a franchise

- Entrepreneurs who want to expand a business with less risk may choose to buy a franchise
- It allows them to run a business with an existing brand, support and customer base rather than growing a less well-known brand
  - E.g., A fast food entrepreneur may choose to buy a Subway franchise because the brand is well known and the franchisor provides training and equipment

Advantages	Disadvantages
▪ The established brand and proven business model reduce risk	▪ Franchise fees and ongoing royalties must be paid to the franchisor
▪ Training and support is provided by the franchisor	▪ The owner is likely to have limited control over business operations and decisions
▪ It is likely to be easier to attract customers due to brand recognition	▪ Profits might be lower due to fees and restrictions

Changing from private limited company to public limited company

- A successful private limited company may **want to raise large amounts of money** quickly for major expansion
- Becoming a public limited company allows it to sell shares to the public on the stock exchange
  - E.g. **Facebook** began as a private limited company and later became Meta Plc to raise billions of dollars for global growth and development

Advantages	Disadvantages
▪ Access to substantial amounts of capital by selling shares publicly	▪ Risk of losing control due to a potential takeover bid or pressure from external shareholders

▪ Higher public profile enhances brand awareness and market presence	▪ Greater regulatory requirements, higher costs, and increased complexity, such as detailed annual reports and compliance costs
▪ Increased ability to attract top-quality management	▪ The company becomes accountable to numerous shareholders and market pressures

Your notes

Forming a joint venture

- Sometimes two or more businesses want to work together on a project, especially if it involves entering a new market or sharing expertise
- A joint venture lets them share the risks, costs, and skills
  - E.g. **Sony** and **Ericsson** formed a joint venture to combine their strengths in electronics and mobile phone technology and create competitive mobile phones for the global market

Advantages	Disadvantages
▪ Risk and costs are shared, reducing financial pressure	▪ There is potential for conflicts between partners about goals or strategy
▪ Allows pooling of expertise and resources for better project outcomes	▪ Profits are shared, which might limit overall earnings per business
▪ Easier entry into new markets, especially internationally	▪ Limited lifespan of the joint venture, requiring renegotiation or an exit strategy

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